

Procure Space ETF

SPCX NASDAQ

Hold	\$149.99 ▼ 0.58%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.98T
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SPCX: Starship Reset Weighs, But Pentagon-Musk Deal Signals Tailwinds

WHAT HAPPENED

- SPCX dipped 0.58% on lighter volume (~50M vs 80M prior days) — the real story is mixed signals: Musk publicly lowered Starship expectations (bad for sentiment), but the Pentagon just tapped him to help shape future warfare strategy (very bullish for the whole military-space complex, which SPCX is loaded with).
- Rocket Lab — a top SPCX holding — ripped higher on a record Electron launch contract plus a Citi upgrade. That's a tell: the small-launch market is heating up even as Starship wobbles, and SPCX benefits either way.

WHY IT MATTERS

Here's what today really means: the space sector is bifurcating. Musk tempering Starship hype hurts the "space is unstoppable" narrative short-term, but his new Pentagon role is a massive long-term tailwind — it signals the Trump administration is formally wiring Silicon Valley space tech into Pentagon procurement, which means more contracts flowing to SPCX's names (Rocket Lab, Iridium, Planet, AST SpaceMobile). The Starlink-vs-cable story is also huge — satellite internet is now a credible threat to terrestrial telecom, which means more capital pouring into orbital infrastructure. Bottom line: the slight down day is noise; the structural setup for space just got stronger, and the options market agrees (big call buying at \$152.50 strike despite the headline bearish put/call ratio).

POLICY & POLITICAL WATCH

The big catalyst is the FY2027 defense budget working through Congress — early markups show space-related line items (Space Force, Golden Dome missile defense, satellite comms) getting *increased* funding, which is a direct pipeline into SPCX holdings. Also watch the FCC spectrum auction debate: if more spectrum opens for satellite broadband, Starlink/AST/Iridium win big. On the risk side, keep an eye on the EU and China retaliation chatter around US space export controls — any tariff escalation on satellite components (lots sourced from Asia) squeezes margins across the ETF.

IS IT EXPENSIVE?

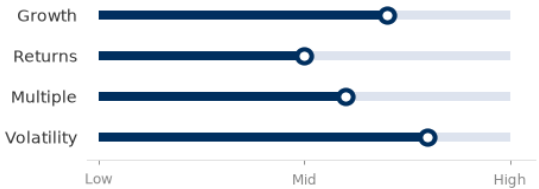
SPCX trades at a premium to broad tech because it's a thematic ETF with concentrated bets on expensive, high-growth names (Rocket Lab trades at ~25x sales — meaning investors pay \$25 for every \$1 of revenue, which is nosebleed territory). That's only justified if government contract flow accelerates — which it is. At \$150 you're paying for the story, not the earnings, so this works if you believe the Pentagon-space thesis plays out over 2-3 years.

WHAT COULD GO WRONG

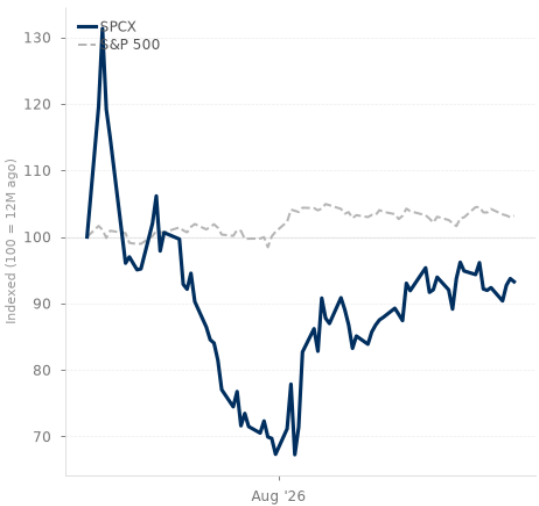
Key Data

Price (USD)	\$149.99
12M Price Target	\$175.00
Upside / (Downside)	+16.7%
Market Cap	\$1.98T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$160.00	\$150.00	\$140.00
6 Months	\$185.00	\$165.00	\$130.00
1 Year	\$220.00	\$175.00	\$125.00
2 Years	\$275.00	\$210.00	\$120.00
5 Years	\$400.00	\$290.00	\$140.00
10 Years	\$650.00	\$450.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.84%) and Tech (+1.04%) — energy on geopolitical tension, tech on continued AI capex. Defense/space sits at that intersection and benefits from both.

COOLING OFF: Consumer Staples (-0.08%) and Consumer Discretionary flat — classic late-cycle rotation where defensive consumer plays lose to growth and hard assets.

ROTATION WATCH: Money is clearly rotating into "picks and shovels" of the AI/defense buildout — space infrastructure is a direct beneficiary because satellites are the data pipes for AI-driven military systems.

RELATED PLAY: If SPCX works, the ground infrastructure plays work too — think Viasat, Comtech, and defense primes like L3Harris that build the ground stations and terminals.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Record Electron contract + Citi Buy rating — proving small-launch demand is real and recurring, not a one-off.
- ASTS (AST SpaceMobile): Riding the satellite-to-phone narrative that Starlink's cable disruption story amplifies.

SPCX CONTEXT: SPCX is lagging its top holdings today because the ETF is diversified across weaker names too (legacy sat operators, Garmin). That's actually the point of owning the ETF vs individual names — you give up some upside for less single-stock risk. If you want the pure play, buy RKLB; if you want the theme without blow-up risk, SPCX is the vehicle.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term setup a lot, but near-term the Starship narrative and stretched valuations keep me from pounding the table.

POSITION SIZE: 3-5% of portfolio — enough to matter if the space thesis plays out, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on dips to \$140-145; the stock has bounced around this range all month, so patience gets you a better basis.

TIME HORIZON: 12-24 months — the catalyst is the FY2027 defense budget plus 2-3 more quarters of contract wins from top holdings.

WHEN TO BAIL: Defense budget gets cut materially, a major launch failure hits a top-5 holding, or the ETF breaks \$125 on heavy volume.

HEDGING: Simplest hedge is sizing — don't go above 5%. If you want insurance, buy a put option on SPCX (gives you the right to sell at a set price, so you cap your downside for a small premium cost).